Advertising

Advertising is a pervasive feature of modern economies in which a huge variety of brands are offered to a large pool of consumers. What function does it serve? In much economic theory consumers are assumed to have all the information they need. In reality, however, they need to be informed about the prices of goods, their different features and even about where to buy them. Advertising provides this information. When consumers make informed decisions, markets work well: firms are subject to competition and prices are kept low.

Of course, a lot of modern advertising conveys little concrete information, but it can still inform consumers in an indirect way: when the quality of different brands is hard to ascertain, large advertising outlays can signal that a firm has confidence in its product. Advertising's many critics argue that all it does is generate new desires for the market to satisfy. What's more, enhancement of brand loyalty may actually hurt competition if consumers become less willing to switch between sellers.